Comprehensive Research Report: Cost Basis and Valuation Rules for Cryptocurrency Taxation in Poland

Executive Summary

The taxation of virtual currencies within the Republic of Poland underwent a systemic paradigm shift in 2019, transitioning from a chaotic application of general tax rules to a highly specialized, isolated regime codified within the Personal Income Tax (PIT) Act. Under the current legislative framework, income derived from the disposal of virtual currencies is classified exclusively as revenues from monetary capital (*kapitały pieniężne*), subject to a flat 19% tax rate under Article 30b of the PIT Act.[1] This regime, while mathematically straightforward in its application of a flat rate, imposes incredibly strict temporal, valuation, and evidentiary requirements upon taxpayers, creating a labyrinth of compliance challenges for active market participants.

This exhaustive research report provides a definitive analysis of the cost basis and valuation rules governing cryptocurrency transactions for Polish tax residents. It delineates the exact mechanical application of the National Bank of Poland (NBP) exchange rates to continuous, 24/7 crypto markets, dissects the strict statutory definitions of deductible costs (*koszty uzyskania przychodów*), and comprehensively maps the application of the First-In, First-Out (FIFO) accounting algorithm across global portfolios. Furthermore, it addresses the treatment of non-standard acquisitions—such as airdrops, staking rewards, and remuneration in stablecoins—and outlines the rigorous evidentiary standards required to substantiate these claims before the Polish National Revenue Administration (Krajowa Administracja Skarbowa - KAS).

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1. The Statutory Framework for Foreign Exchange Valuation in Crypto Markets

A defining complexity of cryptocurrency taxation in Poland arises from the inherent intersection of decentralized, continuously trading global assets with traditional, fiat-centric tax legislation optimized for standard domestic banking hours. The core of this friction lies in the statutory mandate for currency conversion, which introduces latent foreign exchange (FX) risk into the realization of capital gains and the determination of cost bases.

1.1 The General Rule: Article 11a of the PIT Act

Under Polish tax law, the determination of tax liability must ultimately be calculated and settled in Polish Zloty (PLN). Because cryptocurrencies are traded predominantly against foreign fiat

currencies (such as EUR or USD) or fiat-pegged stablecoins (such as USDT or USDC), every acquisition and disposal constitutes a foreign exchange event requiring statutory conversion.

The specific mechanism for this conversion is dictated by Article 11a of the PIT Act. The exact statutory wording of Article 11a ust. 1, which governs the conversion of revenues, is as follows:

> *"Przychody w walutach obcych przelicza się na złote według kursu średniego walut obcych ogłaszanego przez Narodowy Bank Polski z ostatniego dnia roboczego poprzedzającego dzień uzyskania przychodu."* [5]
>
> *(Translation: Revenues in foreign currencies are converted into PLN according to the average exchange rate of foreign currencies announced by the National Bank of Poland from the last business day preceding the day of obtaining the revenue.)*

Crucially, this "last business day preceding" rule applies symmetrically to the calculation of the cost basis. Article 11a ust. 2 of the PIT Act explicitly states that costs incurred in foreign currencies must also be converted using the average exchange rate announced by the NBP from the last business day preceding the day the cost was incurred.[4] Therefore, both the revenue side and the cost side of the ledger are governed by the identical temporal delay mechanism.[7]

While the statutory language of Article 11a refers specifically to "foreign currencies" and does not explicitly mention "virtual currencies" (which are not recognized as legal tender or foreign fiat under Polish law), the Director of the National Revenue Information (Dyrektor Krajowej Informacji Skarbowej - DKIS) consistently mandates the analogical application of this rule when valuing cryptocurrency transactions.[7]

1.2 Valuation of Crypto-to-Fiat Disposals (Binance / Kraken)

When a taxpayer disposes of cryptocurrency on a centralized exchange, such as selling USDC for EUR on Binance or converting BTC to EUR on Kraken, the taxable event occurs precisely at the moment the EUR is credited to the taxpayer's exchange wallet.[4] The subsequent transfer of those EUR funds from the exchange to a personal bank account at a later date is entirely irrelevant for the determination of the tax point. The revenue is deemed to have been obtained upon the execution of the trade on the exchange platform.

The Strict Prohibition of Trade-Day Rates: The "income" generated in such a transaction is the exact EUR amount received. A common misconception among taxpayers is the assumption that they can use the real-time spot rate at the exact millisecond of execution, or the exchange's internal daily rate, or even the NBP rate published on the day of the trade. According to Article 11a ust. 1, all of these approaches are statutorily invalid. The taxpayer is strictly prohibited from using the trade-day rate; the conversion must strictly utilize the NBP EUR mid-rate from the **last business day prior to the trade date**.[4]

Weekend and Holiday Trades: The Temporal Disconnect:

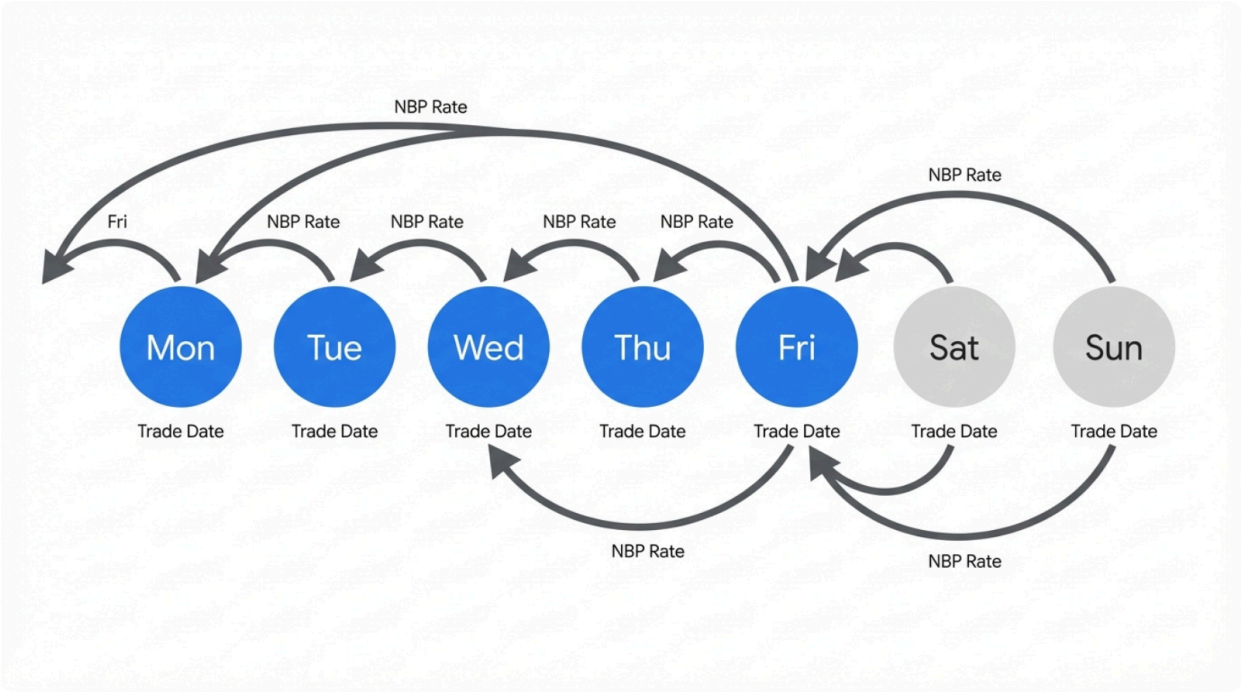
Because cryptocurrency markets operate continuously on weekends and public holidays, but

the National Bank of Poland only publishes official exchange rates on business days (Monday through Friday, excluding statutory holidays), a massive temporal mismatch occurs. The rule explicitly dictates the use of the "last business day preceding" the transaction. This leads to the following mechanical applications for a standard week:

Day of Crypto Trade	NBP Exchange Rate to Apply	Rationale
Tuesday	Monday's NBP mid-rate	Monday is the last business day preceding Tuesday.
Wednesday	Tuesday's NBP mid-rate	Tuesday is the last business day preceding Wednesday.
Thursday	Wednesday's NBP mid-rate	Wednesday is the last business day preceding Thursday.
Friday	Thursday's NBP mid-rate	Thursday is the last business day preceding Friday.
Saturday	Friday's NBP mid-rate	Friday is the last business day preceding Saturday.[4]
Sunday	Friday's NBP mid-rate	Friday is the last business day preceding Sunday.
Monday	Friday's NBP mid-rate	Friday is the last business day preceding Monday.

This dynamic introduces substantial, unhedgeable foreign exchange (FX) risk into weekend cryptocurrency trading for Polish tax residents. A significant macroeconomic event occurring over a weekend may cause the actual EUR/PLN market rate to fluctuate violently. However, the Polish tax code ignores this real-world fluctuation entirely, binding the taxpayer to the pre-weekend Friday rate. This can artificially inflate or deflate the PLN-denominated tax liability relative to the economic reality of the trade executed on Sunday.

Application of NBP Exchange Rates to Crypto Trades by Day of Week



Pursuant to Art. 11a ust. 1 of the PIT Act, cryptocurrency trades are converted to PLN using the NBP rate from the preceding business day. Notably, trades executed on Saturday, Sunday, and Monday all reference the identical NBP rate published on Friday.

1.3 Cost Basis Calculation for Fiat-to-Crypto Acquisitions

The acquisition of cryptocurrency using fiat currency represents the primary method of establishing a cost basis for the vast majority of retail investors. If a taxpayer purchases cryptocurrency using a foreign fiat currency (e.g., depositing EUR to an exchange via SEPA transfer and utilizing it to purchase BTC), this transaction operates under an identical mechanism to disposals, governed symmetrically by Article 11a ust. 2.

The cost basis is calculated by multiplying the exact EUR expenditure by the NBP EUR mid-rate from the last business day preceding the day the purchase was executed.[4] The exact moment of "incurring the cost" is legally recognized as the day the taxpayer's exchange account fiat balance is debited to fulfill the trade order.[4]

Worked Example: Fiat-to-Crypto Acquisition

- **Event:** Taxpayer places a market order on Kraken on Wednesday, May 15th, spending exactly 5,000 EUR to acquire 0.08 BTC.
- **Rule Application:** The cost must be converted using the NBP EUR mid-rate from

Tuesday, May 14th.

- **NBP Rate:** Assume the NBP EUR mid-rate published on May 14th was 4.3050 PLN.
- **Cost Basis Calculation:** 5,000 EUR * 4.3050 = 21,525 PLN.
- **Result:** The taxpayer adds a new tranche to their BTC FIFO queue: 0.08 BTC with a locked, historical cost basis of 21,525 PLN.

1.4 Valuation of Cryptocurrency Received as Remuneration (The USDC Depeg Scenario)

The modern digital economy frequently sees independent contractors, developers, and corporate entities settling B2B invoices or receiving salary payments in cryptocurrencies, particularly fiat-pegged stablecoins like USD Coin (USDC) or Tether (USDT). This practice introduces a highly complex, dual-layer valuation and taxation process under Polish law.

First and foremost, cryptocurrency is not recognized as a legal tender or a foreign currency under Polish civil or tax law. Therefore, receiving USDC as payment for services rendered is legally classified as a barter transaction or the receipt of a property right in kind, not the receipt of foreign fiat currency.[8] Consequently, the taxpayer cannot simply treat the USDC as actual US Dollars. The taxpayer must determine the true market value of the remuneration in a traditional fiat currency (typically USD, as USDC is pegged to it) on the day of receipt.[7]

The calculation requires a meticulous two-step procedure [7]:

Step 1: Determine the Exact Crypto Market Value in Fiat The taxpayer must ascertain the precise market value of the cryptocurrency on the day preceding the receipt. For USDC, while it is structurally designed to maintain a strict 1:1 peg with the US Dollar, Polish tax authorities demand the use of actual market pricing, acknowledging that stablecoins are subject to market forces and liquidity crises.[13] If USDC depegs on the day preceding the payment (for instance, dropping to $0.92 due to counterparty risks or reserve concerns), the taxpayer is strictly required to use the $0.92 valuation.[7] To establish this value objectively, the KIS interprets that the taxpayer should utilize the average of the opening and closing prices from a reputable global aggregator (such as CoinMarketCap or CoinGecko) for that specific date.[7]

Step 2: Convert the Fiat Market Value to PLN Once the true USD market value of the received token is established, the taxpayer must convert that USD value into PLN. This step applies the standard rule of Article 11a ust. 1, using the NBP USD mid-rate from the last business day preceding the day of revenue receipt.[7]

This resulting PLN value is then immediately declared as operational income from the taxpayer's primary economic activity (e.g., non-agricultural business operations under Article 10 ust. 1 pkt 3 of the PIT Act), subject to standard income tax rates (scale, flat 19%, or lump sum), VAT considerations, and health/social contributions.[8]

The Step-Up in Cost Basis: Crucially, this exact PLN valuation subsequently becomes the legally recognized deductible cost basis (*koszt uzyskania przychodu*) when the USDC is eventually sold for actual fiat on an exchange. This "step-up" basis mechanism is fundamental

to preventing the unconstitutional double taxation of the same economic gain.[15]

Worked Example: The Depegged Salary Scenario

- **Contract:** A Polish B2B contractor issues an invoice for 10,000 USD for software development. The client agrees to settle the invoice by sending 10,000 USDC on a Wednesday.
- **Market Reality (Step 1):** Due to a market shock, on Tuesday (the day before receipt), USDC temporarily depegged. The average daily price of USDC on Tuesday was exactly 0.95 USD. The true market value of the received tokens is therefore 9,500 USD.
- **Currency Conversion (Step 2):** The NBP USD mid-rate from Tuesday is 4.00 PLN.
- **Operational Income Calculation:** 9,500 USD * 4.00 PLN = 38,000 PLN. The taxpayer reports 38,000 PLN as standard B2B business revenue.
- **Subsequent Disposal:** Six months later, USDC has regained its peg. The taxpayer sells the 10,000 USDC on Binance for 10,000 EUR. The applicable NBP EUR rate from the day before the sale is 4.30 PLN.
- **Capital Gains Revenue:** 10,000 EUR * 4.30 PLN = 43,000 PLN.
- **Capital Gains Cost Basis:** The previously taxed amount of 38,000 PLN serves as the exact cost basis.
- **Final Capital Gain (PIT-38):** 43,000 PLN (Revenue) - 38,000 PLN (Cost) = 5,000 PLN. This 5,000 PLN is subject to the 19% crypto capital gains tax.

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2. The Ontology of "Koszt Uzyskania Przychodu" (Deductible Costs)

The determination of what legally constitutes a valid deductible cost (*koszt uzyskania przychodu*) in cryptocurrency trading is one of the most strictly regulated and heavily audited aspects of the Polish tax code. The framework is governed by Article 22 ust. 14 of the PIT Act.[17] Unlike general business expenses where a taxpayer need only prove that an expense was incurred to secure or preserve a source of revenue, cryptocurrency deductions are subject to a highly restrictive "direct connection" standard.

2.1 The Principle of Strict Direct Connection

Under Article 22 ust. 14 of the PIT Act, deductible costs for virtual currencies are strictly, exhaustively limited to "documented expenses directly incurred for the acquisition of virtual currency and costs related to its disposal".[17] The word "directly" (*bezpośrednio*) is interpreted by tax authorities with extreme literalism. If an expense facilitates trading but is not mechanically part of the exact moment of acquiring or disposing of the token, it is routinely disqualified.

A comprehensive taxonomy of common crypto expenses and their deductibility status under current KIS interpretations reveals the rigidity of this framework:

Category of Expense	Deductibility Status	Legal/Interpretative Rationale
Original Purchase Price	**Fully Deductible**	The core fiat amount paid to acquire the asset, converted to PLN, represents the undeniable, fundamental direct cost of acquisition.[4]
Exchange Trading Fees (Maker/Taker)	**Fully Deductible**	Commissions deducted automatically by the exchange matching engine at the exact millisecond of a fiat-to-crypto purchase or a crypto-to-fiat sale are intrinsically and mechanically linked to the transaction. They cannot be decoupled from the acquisition/disposal process.[4]
Fees Paid in Crypto (Internal)	**Absorbed into Basis**	If an exchange deducts the trading fee in the same token being purchased (e.g., buying 1.0 ETH, but receiving 0.99 ETH in the wallet due to a 0.01 ETH fee), the cost basis is the total fiat paid for the gross order. The fee is effectively absorbed, raising the per-unit cost basis of the remaining 0.99 ETH. It does not generate an independent cost line item.
Exchange Withdrawal Fees	**Non-Deductible**	Fees levied by an exchange to withdraw crypto from

		the platform to a self-custody cold wallet are consistently viewed by the KIS as operational asset management or logistical costs. Moving an asset you already own from one vault to another does not constitute a new acquisition, nor is it a disposal. Therefore, the direct link fails.[4]
Blockchain Network Fees (Gas)	**Highly Contentious / Generally Non-Deductible**	While gas fees required to execute an on-chain smart contract purchase (e.g., swapping ETH for a token on Uniswap) might logically seem direct, KIS interpretations often reject gas fees incurred for mere wallet-to-wallet transfers. Because pure transfers are not taxable events (neither acquisition nor disposal), the associated gas is deemed an indirect operational expense.[4]
Hardware Wallets & VPNs	**Non-Deductible**	The cost of acquiring physical security infrastructure (e.g., Ledger, Trezor devices) or cybersecurity subscriptions (VPNs) are explicitly categorized as indirect overhead costs. They secure the asset but do not directly acquire it.[4]
Mining Hardware & Electricity	**Explicitly Non-Deductible**	Costs associated with Proof-of-Work mining,

		including specialized ASICs, GPUs, cooling systems, and the immense cost of electrical energy, are explicitly barred. The Supreme Administrative Court (NSA) has solidified the stance that these are indirect costs of production, not direct costs of acquisition, and thus cannot offset capital gains from the sale of mined tokens under the PIT-38 regime.[17]
Financing Costs	**Explicitly Non-Deductible**	Interest paid on margin loans, personal bank loans, or credit lines utilized to finance the purchase of cryptocurrencies is explicitly excluded by the Ministry of Finance guidelines.[17]

2.2 The Zero-Cost Acquisition Paradox (Airdrops and Staking)

A unique interpretative challenge arises when a taxpayer acquires cryptocurrency without a direct fiat expenditure, such as through marketing airdrops, Proof-of-Stake (PoS) consensus rewards, or liquidity pool yield farming. By definition, the initial fiat acquisition cost is zero.

However, Polish tax law abhors a vacuum. The KIS has consistently ruled in recent interpretations (e.g., 0112-KDIL2-2.4011.146.2024.2.IM, 0115-KDIT1.4011.558.2025.2.MK) that the receipt of staking rewards or airdrops triggers an immediate taxable event upon the moment the tokens hit the taxpayer's wallet.[15] These inflows are classified under general tax rules as revenues from "property rights" (*prawa majątkowe*) pursuant to Article 18 of the PIT Act.[15]

The taxpayer must determine the market value of the tokens on the day of receipt, apply the NBP preceding-day exchange rate rule, and pay income tax on that virtual value according to the progressive tax scale (12% / 32%), regardless of whether the tokens have been sold for fiat or if they lack sufficient market liquidity to be sold.[15]

While this creates a severe liquidity burden (taxing unrealized, illiquid gains), the law does provide a symmetric relief mechanism upon subsequent disposal. As outlined in Section 1.4,

Article 22 ust. 1d of the PIT Act allows a step-up in basis. The PLN value that was forcefully recognized and taxed as income from property rights upon the receipt of the airdrop/staking reward becomes the legally recognized, documented deductible cost basis when those specific tokens are later sold on an exchange under the 19% capital gains regime. This prevents the KAS from taxing the exact same economic value twice.[15]

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3. The Mechanics of Inventory Accounting: The Strict Mandate of FIFO

Cryptocurrencies present a unique accounting challenge: they are highly divisible, perfectly fungible digital assets typically accumulated over years through thousands of micro-transactions, automated dollar-cost averaging (DCA) bots, and varying price points. When a taxpayer decides to sell a fraction of their total holdings, an ordering rule is required to determine exactly which historical cost basis should be assigned to the units being disposed of.

The Polish PIT Act resolves this ambiguity with absolute rigidity, mandating the First-In, First-Out (FIFO) method.

3.1 The Statutory Mandate

The requirement to utilize the FIFO methodology is enshrined in Article 30b ust. 6a of the PIT Act.[1] The statutory text dictates that in situations where it is impossible to specifically identify the exact units of capital assets being redeemed, repurchased, or otherwise disposed of, the taxpayer is legally obligated to assume that the revenue is generated from the disposal of the units that were acquired earliest.

While this provision was originally drafted decades ago to govern traditional mutual fund participations and uncertificated securities, the KIS has unequivocally confirmed its direct application to virtual currencies.[1] It is the sole legally permissible inventory accounting method for crypto taxation in Poland. Taxpayers cannot legally opt for Last-In, First-Out (LIFO), Highest-In, First-Out (HIFO), or Specific Identification (SpecID) methods, even if blockchain analytics could theoretically identify specific UTXOs (Unspent Transaction Outputs).[21]

3.2 The Global, Per-Asset Depletion Algorithm

The application of FIFO under Polish law operates on two fundamental axes: it is strictly "per-asset," and it is strictly "global" across the entirety of the taxpayer's portfolio.

The Per-Asset Rule: FIFO logic applies independently to each specific cryptocurrency.[22] The taxpayer must maintain separate, independent chronological queues for Bitcoin (BTC), Ethereum (ETH), Solana (SOL), and every other discrete token in their possession. A sale of ETH only depletes the ETH FIFO queue; it has absolutely no bearing on the cost basis of BTC.

The Global Portfolio Rule: The most operationally complex aspect of Polish FIFO is that it is geographically and platform-agnostic.[21] The tax code does not recognize the physical, digital,

or jurisdictional location of the assets. The FIFO queue is an abstract aggregation of the taxpayer's entire economic ownership.

If a taxpayer purchases 1 BTC on Binance in 2021, transfers it to a Ledger hardware wallet, then purchases another 1 BTC on Kraken in 2022, and finally decides to sell 1 BTC directly from the Kraken interface in 2023, the taxpayer cannot claim the cost basis of the 2022 Kraken purchase. The FIFO algorithm dictates that the 2023 sale on Kraken mathematically depletes the 2021 purchase originally made on Binance, regardless of the fact that the actual Binance coins are sitting untouched in a cold storage vault.[21]

Example: Global FIFO Depletion Across Multiple Exchanges

Transaction Ledger & Tax Status

DATE	ACTION	EXCHANGE	ASSET AMOUNT	COST BASIS (PLN)	FIFO STATUS
Jan 10	BUY	Binance	0.5 BTC	100,000	Depleted
Feb 15	BUY	Kraken	0.5 BTC	120,000	Active
Mar 20	SELL	Kraken	0.5 BTC	N/A	Consumes Jan 10 tranche
			Calculated Profit/Loss:	[Sale Revenue] – **100,000 PLN** (Cost Basis)	

Under Polish tax law, FIFO is applied per-asset globally. In this scenario, a sale on Kraken depletes the oldest acquisition tranche, which occurred on Binance, highlighting the irrelevance of wallet location for tax purposes.

Data sources: Instytut Kryptografii, Podatek Giełdy

This global requirement mandates the comprehensive aggregation of all historical exchange API data, CSV exports, and decentralized finance (DeFi) interactions into a single, unified master ledger before the FIFO algorithm can be executed.[21] Attempting to apply FIFO on a per-exchange basis will result in severe miscalculations of the tax liability and is deemed a violation of tax accounting principles.

3.3 The Tax Neutrality of Crypto-to-Crypto Swaps and Forced

Auto-Conversions

Since the legislative reform of 2019, the exchange of one virtual currency for another virtual currency is treated as tax-neutral in Poland (codified in Article 17 ust. 1f of the PIT Act). Such events do not generate taxable revenue, nor do they trigger the realization of deductible costs.[4] The taxable event is indefinitely deferred until the final conversion back into fiat currency or the exchange for goods and services.[4]

This neutrality applies universally, covering both active algorithmic trading between trading pairs (e.g., swapping BTC for ETH a thousand times a day) and passive, involuntary structural changes to an asset, such as exchange-mandated stablecoin auto-conversions.

Consider the scenario where Binance executed a forced, automatic conversion of BUSD balances into FDUSD, and subsequently allowed conversions into USDC.[24] Because BUSD, FDUSD, and USDC all meet the statutory definition of virtual currencies under the Anti-Money Laundering (AML) Act, this forced conversion is a tax-neutral event under Polish law.

However, this neutrality creates a profound ledger tracing challenge. The historical fiat cost basis of the original asset must seamlessly transfer to the new asset to preserve the eventual deduction.

The Auto-Conversion Cost Basis Tracing Mechanism:

1. **Initial Purchase:** Taxpayer buys 10,000 BUSD in 2022 for exactly 42,000 PLN. A FIFO queue for BUSD is created, containing one tranche:.
2. **The Auto-Conversion:** In late 2023, Binance automatically converts the 10,000 BUSD into 10,000 FDUSD.[24] No revenue is reported. No tax is owed.
3. **The Ledger Mutation:** The taxpayer's ledger must mathematically mutate. The BUSD FIFO queue is emptied and closed. A new FDUSD FIFO queue is instantiated. The historical lineage transfers directly: the FDUSD queue now contains one tranche:.
4. **Final Disposal:** In 2024, the taxpayer sells the 10,000 FDUSD for EUR, generating a PLN equivalent of 40,000 PLN based on the preceding-day NBP rate.
5. **Final Calculation:** Revenue (40,000 PLN) - Inherited Historical Cost (42,000 PLN) = A capital loss of 2,000 PLN.

Without meticulous record-keeping to bridge the gap across tax-neutral swaps, the taxpayer risks losing their historical fiat cost basis entirely, exposing the gross proceeds of the final sale to the 19% tax rate.

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4. Jurisdictional Migration: Cost Basis Pre-Residency

In an era of increasing digital nomadism, individuals frequently acquire cryptocurrency while resident in one jurisdiction and later migrate to another. When a taxpayer accumulates a cryptocurrency portfolio while maintaining tax residency in a foreign country (e.g., the UK or Germany) and subsequently relocates to Poland, establishing Polish tax residency (triggered by

spending over 183 days in Poland or centering vital economic/personal interests there), complex questions arise regarding the cost basis of those pre-existing assets.[25]

Many sophisticated tax jurisdictions offer an incoming "step-up" in basis to market value upon the establishment of residency, essentially marking the portfolio to market on the day the individual crosses the border, thereby only taxing gains accrued while the individual is a resident.

Polish tax law, however, generally adheres strictly to the historical cost principle for capital assets and lacks a broad, inverse exit-tax step-up provision.[4] When the new Polish resident eventually sells the cryptocurrency on an exchange, the Polish tax authorities look back to the very origin of the asset. The cost basis remains the original acquisition price paid in fiat years prior, converted to PLN.

This creates an extraordinary administrative burden. The taxpayer must reconstruct their global FIFO ledger, identifying the specific fiat purchase made while they lived abroad. They must then look up the historical NBP mid-rate from the last business day preceding that specific historical acquisition date—even though they had no connection to Poland or the Polish Zloty at the time. The market value of the cryptocurrency at the precise moment they became a Polish resident is legally irrelevant for the determination of deductible costs under Article 30b.

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5. Evidentiary Standards, Documentation, and the Virtual Currency Register

The Polish tax system is built upon the principle of self-assessment, but the burden of proof regarding the substantiation of deductible costs rests unequivocally and entirely upon the taxpayer. If the KAS audits a taxpayer and the taxpayer cannot definitively prove the provenance and fiat cost of the disposed crypto, the authority will simply assess the revenue without allowing any deductions, effectively taxing the gross transaction volume at 19%.[26]

5.1 The Virtual Currency Register (*Ewidencja Walut Wirtualnych*)

Article 30b ust. 6 of the PIT Act stipulates the taxpayer's obligation to report revenues and costs after the tax year ends.[1] To fulfill this obligation accurately and survive a potential audit, taxpayers must maintain detailed supporting records. While the statute does not prescribe a rigid, standardized, state-issued form for the "virtual currency register" (*ewidencja walut wirtualnych*), numerous DKIS interpretations and ministry guidelines have established the strict parameters for what this documentation must contain to be legally defensible.[4]

A compliant register cannot simply list annual aggregates (e.g., "Bought 50k PLN of crypto, Sold 70k PLN of crypto"). It must meticulously track data on a granular, per-transaction basis.[4] The required columns typically include:

1. **Asset Identification:** The type, explicit name, and standard ticker symbol identifying the

virtual currency (e.g., Ethereum, ETH, or USD Coin, USDC).[4]

2. **Quantitative Data:** The exact volume of the asset acquired or disposed of, to the maximum precision allowed by the exchange (often 8 decimal places).
3. **Temporal Data:** The exact calendar date and time of the transaction.[4]
4. **Transaction Modality:** The method of acquisition or disposal (e.g., fiat purchase, crypto-to-crypto tax-neutral swap, staking reward, airdrop).
5. **Financial Valuation:** The actual fiat cost incurred in the foreign currency, the specifically applied NBP exchange rate from the preceding business day, and the final calculated cost basis in PLN.[4]

5.2 Acceptable Forms of Primary Documentation

Tax offices acknowledge that the global cryptocurrency ecosystem operates differently from the regulated Polish financial sector. Centralized exchanges domiciled in offshore jurisdictions (such as Binance or Kraken) do not issue standard Polish VAT invoices, nor do they generate the traditional PIT-8C tax information forms that domestic brokerage houses issue.[17]

Consequently, the KAS accepts alternative digital documentation to substantiate the register, provided it establishes an unbroken, coherent audit trail.[4] Legally sufficient documentation includes a combination of:

- **Bank Confirmations:** Traditional PDF banking statements proving the outbound transfer of fiat currency (PLN, EUR, USD) to the exchange's banking partner. This is the single strongest piece of evidence, as it bridges the regulated traditional banking system with the unregulated crypto ecosystem, proving actual capital deployment.
- **Exchange Data Exports (CSV/API Logs):** Raw, unedited data exports generated directly by the exchanges detailing trade histories, order executions, and deposit/withdrawal logs.
- **Electronic Trade Statements:** Monthly statements or automated transaction receipts emailed by the exchange platform to the user.[4]

Crucially, the virtual currency register does not need to be maintained strictly in real-time on a daily basis throughout the year. It is legally permissible to reconstruct the register retroactively from exchange CSV records at the end of the tax year during the preparation of the PIT-38 filing. However, this retroactive reconstruction must accurately reflect the chronological reality, enforce the FIFO algorithm flawlessly, and utilize the correct historical NBP rates.[4]

5.3 Document Retention Horizons

Under the general provisions of the Polish Tax Ordinance (*Ordynacja Podatkowa*), tax liabilities formally expire five years from the end of the calendar year in which the deadline for paying the tax passed. Consequently, the taxpayer is legally required to retain all primary evidence—CSV files, bank statements, and the reconstructed crypto register—for a minimum of **five full years** following the end of the year the PIT-38 was filed.

However, the unique mechanics of crypto cost carryforwards drastically extend this horizon in practice. As outlined below, surplus costs can be carried forward indefinitely. If a taxpayer

purchases Bitcoin in 2020, carries the cost forward for years, and finally sells the Bitcoin in 2026, the 2026 tax return relies on the cost incurred in 2020. The documentation proving the 2020 purchase must be retained for five years *after* the 2026 tax return is filed (i.e., until the end of 2032). In practice, cryptocurrency acquisition records must be stored semi-permanently by active investors.

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6. Settlement Mechanics and the Cost Carryforward System

Cryptocurrency capital gains and losses are reported annually on the **PIT-38** declaration, utilizing the specifically dedicated "Section E" for virtual currencies.[4] The filing window opens on February 15 and closes strictly on April 30 of the year following the tax year.[27]

6.1 Strict Isolation of Crypto Capital

A critical, systemic feature of Polish tax law is the strict isolation of cryptocurrency revenues and costs. While crypto transactions are reported on the same PIT-38 form alongside traditional equities, bonds, and derivatives, the crypto data forms a hermetically sealed pool of capital.

- A taxpayer is statutorily prohibited from offsetting capital losses generated from the sale of traditional stock (e.g., selling Warsaw Stock Exchange shares at a loss) against capital gains generated from the sale of Bitcoin.[4]
- Conversely, massive fiat costs incurred buying cryptocurrency cannot be used to offset revenues from traditional dividends or traditional stock sales.[4] The tax bases are entirely compartmentalized.

6.2 The Perpetual Carryforward of Unused Costs (*Nadwyżka Kosztów*)

If a taxpayer actively accumulates cryptocurrency—steadily deploying fiat into the market via DCA strategies—it is highly probable that their total deductible costs will exceed their total fiat revenues in a given tax year. Under standard capital gains rules, this would generate a "tax loss" (*strata podatkowa*), which under Polish law can only be utilized under specific restrictions (e.g., 50% max usage per year, expiring after 5 years).

However, the crypto regime operates differently. The excess of costs over revenues in crypto trading does not generate a standard tax loss.[4] Instead, it creates a unique legal construct known as a "surplus of costs" (*nadwyżka kosztów uzyskania przychodów*).[17]

This surplus must be formally declared in Section E of the current year's PIT-38, even if the final tax owed is zero.[4] It is then carried forward in its entirety and added to the pool of deductible costs in the subsequent tax year.[17] Unlike standard tax losses, this surplus does not currently expire after five years; it carries forward perpetually.

This mechanism is profoundly beneficial for long-term investors (colloquially known as "HODLers"). It allows them to continuously roll their accumulated fiat investments forward year over year. The taxpayer will only realize a net taxable income, and thus owe the 19% tax, when their aggregate historical fiat revenues eventually surpass the aggregate historical fiat they have injected into the ecosystem since they began trading.

Conclusion

Navigating the cost basis and valuation rules for cryptocurrency taxation in Poland is a highly technical endeavor requiring rigorous adherence to specific statutory mechanics. The mandatory analogical application of preceding-day NBP exchange rates to a 24/7 global market introduces unavoidable FX volatility and calculation friction, while the strict, literal interpretations of Article 22 ust. 14 outright prohibit the deduction of standard operational costs, such as hardware wallets and non-trade network gas fees.

Furthermore, the statutory mandate for a global, per-asset FIFO algorithm, coupled with the necessity of transferring historical fiat cost bases through endless layers of tax-neutral crypto-to-crypto swaps, places an extraordinary evidentiary burden on the taxpayer. Success before the Polish tax authorities in the event of an audit relies not merely on overall portfolio profitability, but on the meticulous preservation of data architecture—leveraging verifiable exchange API exports and historical banking records to irrefutably substantiate every fraction of a Zloty claimed as a deductible cost within the virtual currency register.

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